

Negotiation Excellence

NATIONAL TRAINING WEEK

HRDC

3RD AUGUST 2026 (1ST GROUP)

TRAINER : CHUA YONG CHIN

Learning Objectives

- TO EXPLAIN KEY STEPS FOR AN EFFECTIVE NEGOTIATIONS
 - TO REVIEW COMMON TACTICS DEPLOYED AND MITIGATIONS
-

Content

MODULE 1: WHY NEGOTIATIONS

MODULE 2: NEGOTIATION FRAME WORK

- Plan
- Debate
- Propose
- Bargain
- Agree

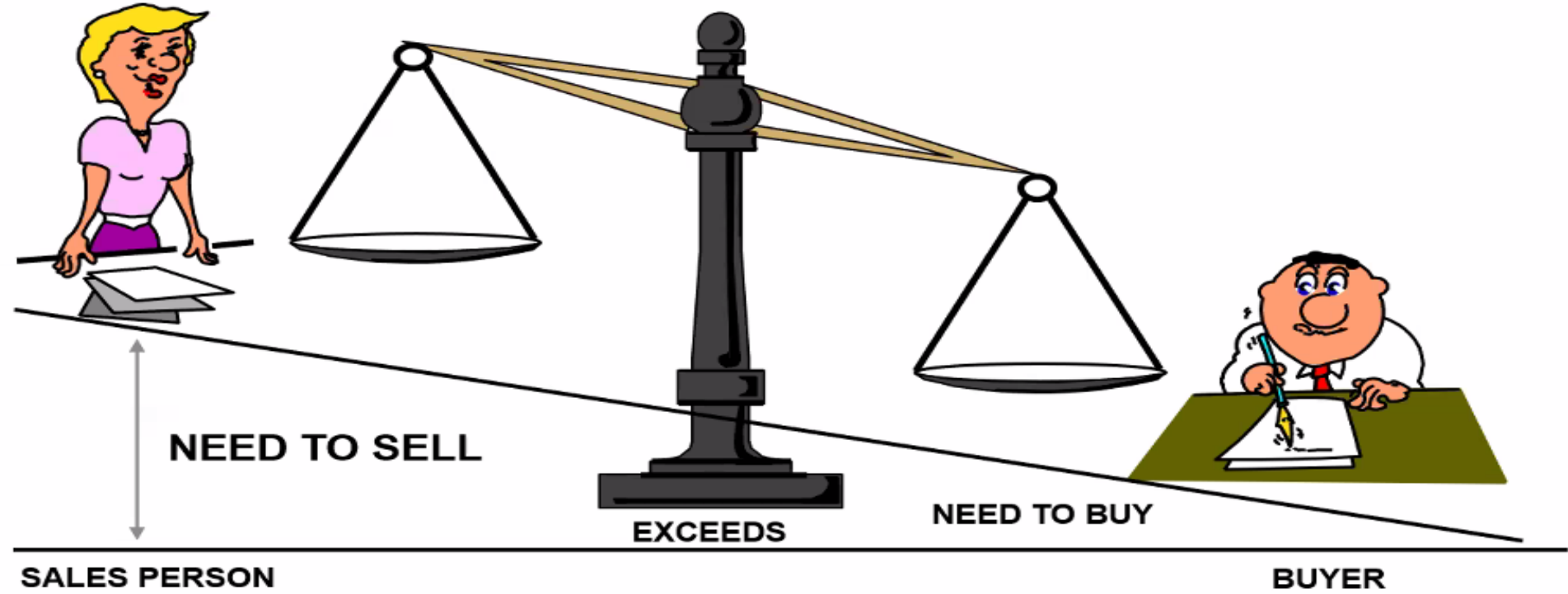
MODULE 3: NEGOTIATIONS TECHNIQUES

MODULE 4: NEGOTIATION TACTICS AND COUNTER MEASURES

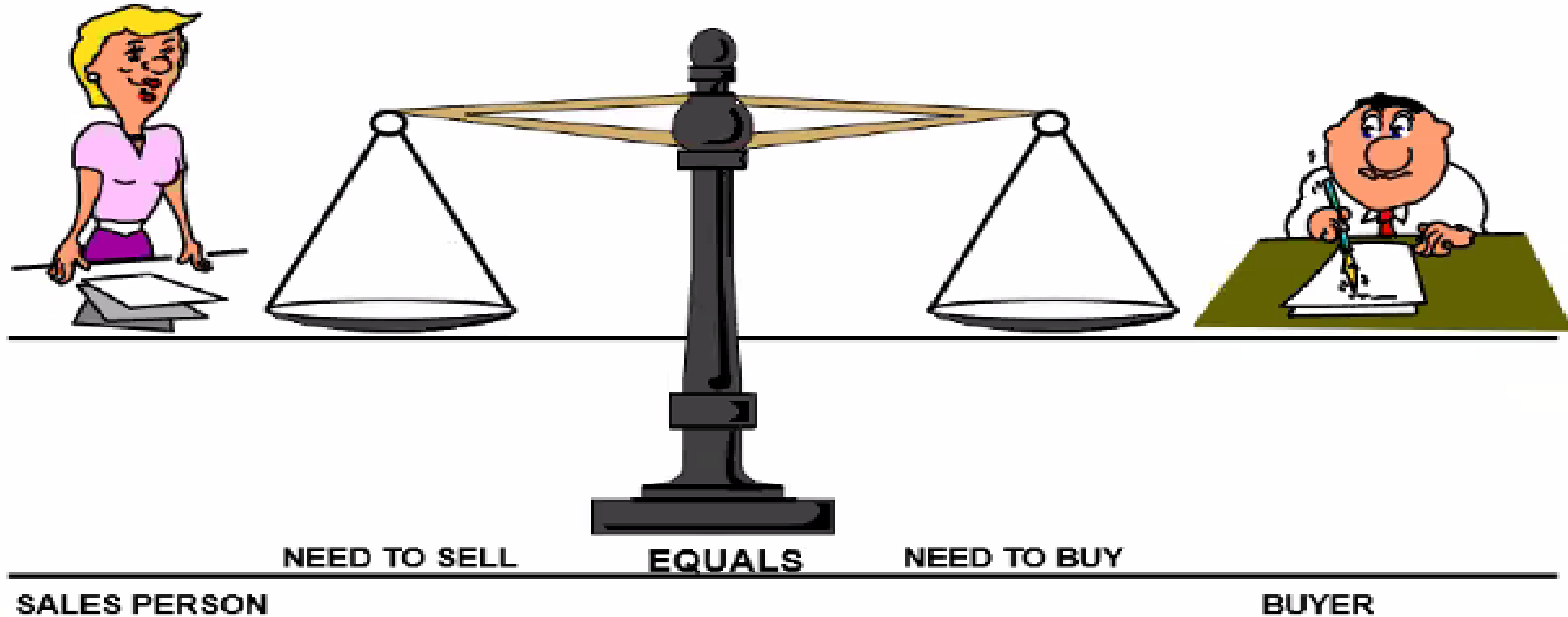
NEGOTIATION
THE ART OF THE DEAL

Let's Make a
Deal

Selling Is When The.....



Negotiation Starts When The



Why Negotiate

Negotiation Can Save...

FACE

Relationship

Time

Money

Aggravation



...As opposed to deadlock

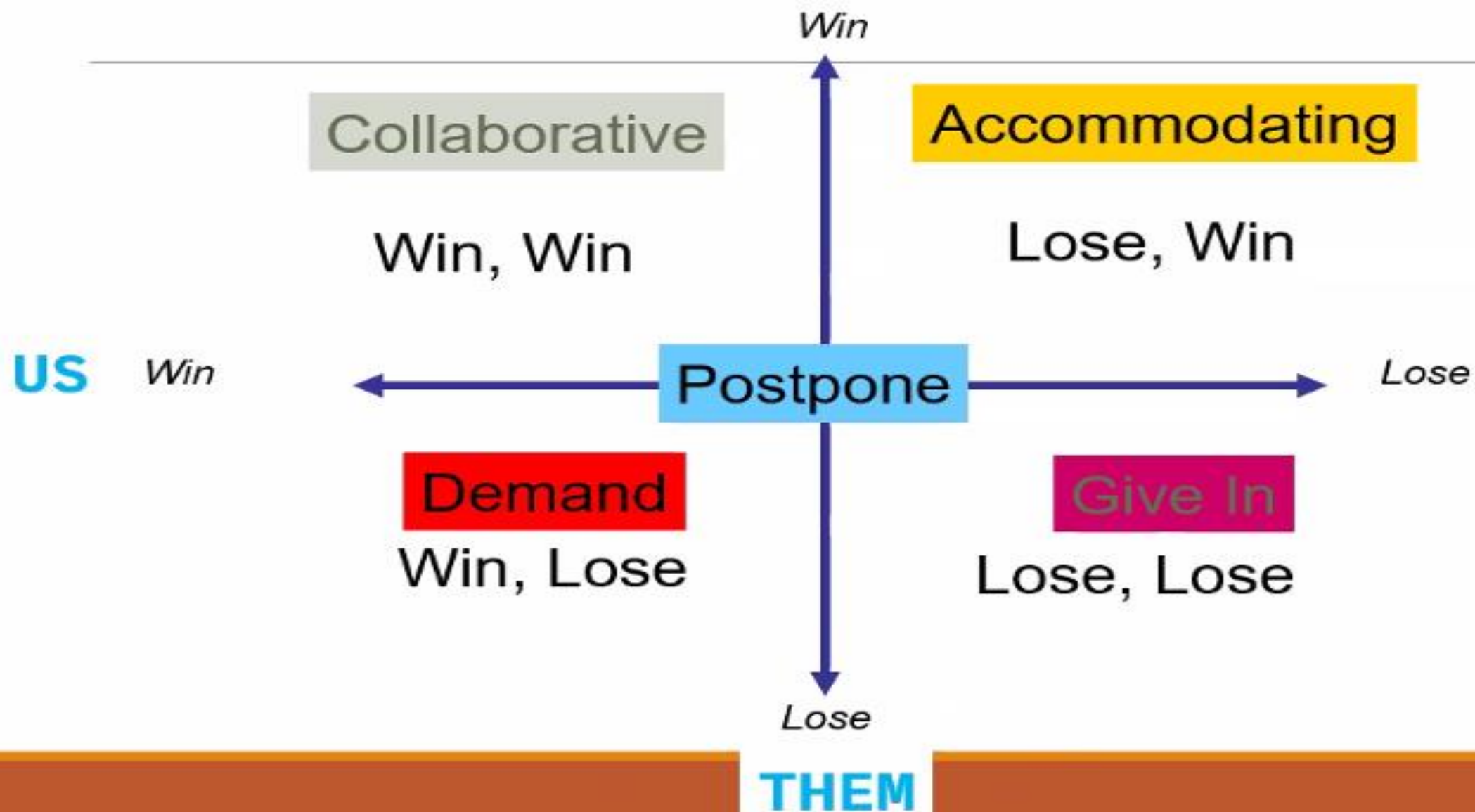
...yet it open itself to precedent

The Importance Of Selling **BEFORE** Negotiating

- The objective in any selling situation is to heighten the buyers “desire to buy” in order to reduce his “requirements to negotiate”
- The more the buyer is “sold” on your proposal, there is greater likelihood that the negotiation will be more straightforward



Possible Outcome of Negotiations



NEGOTIATION FRAMEWORK

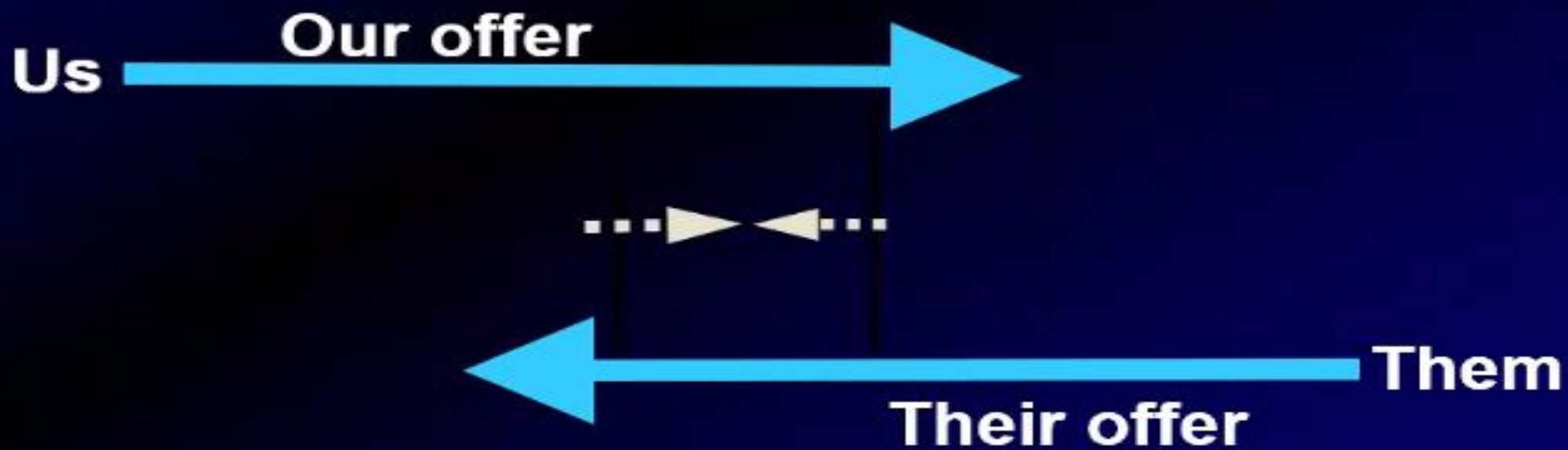
Plan

Debate

Propose

Bargain

Agree



The five main phases of negotiation

Plan

What do we want?



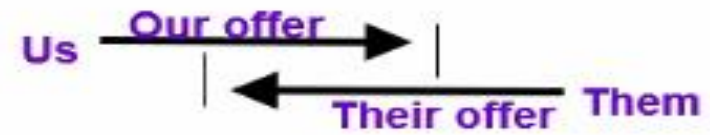
Debate

What do they want?



Propose

What could we trade?



Bargain

What will we trade?



Agree

Close



Negotiation Frame Work

Preparing

PLAN

- 4 pt test
- Power Analysis
- Wish list
- Walk-away
- Concession
- Cost Benefit Analysis

DEBATE

- Deadlock
- Signal
- Adjournment

Conducting Negotiation

PROPOSE

- How to
- Receiving

BARGAIN

- How to
- Receiving
- If...then...

AGREE

- When to
- How to

Concessions

- Customer has wish list
- You have wish list
- There will be elements which differ!!
- Concessions are traded by either party to achieve elements on the wish list

" **If you** give me **X** **I will** give you **Y**"

X and Y are **concessions** which have been **traded**

List Of Variables Developed By Customers

PRICING

1. Volume / Quantity Discounts
2. Long term discounts
3. Short term discounts
4. Contractual pricing
5. Introductory discount
6. Range discount
7. Special quantity discount
8. Trunker / pallet discount
9. Solus pricing
10. Exclusivity
11. Deferred price increase
12. Collection discount
13. Early payment discount
14. Pre payment discount
15. Extended Credit
16. Warehouse Delivery
17. Direct Delivery

ALLOWANCES (Lump Sums)

1. Advertising Allowance
2. Display Allowance
3. Guaranteed Display
4. Listing Allowance
5. De Listing Allowance
6. Loyalty Payment
7. Overrider
8. Allocation Allowance
9. Commitment Allowance
10. Exhibition Allowance
11. Retrospective Discount
12. Stock in Hand Credit

OTHERS

1. Sale or Return
2. Exchange of Stock
3. Credit for damages
4. Coupon handling
5. Free Stock
6. Production of Print Material
7. Art Work / Origination
8. Merchandising Support
9. Demonstrators
10. Joint Promotions
11. Linked Promotions
12. National Promotions
13. Tailored Promotions
14. Stands / Display Units / Equipment
15. Free Prize Draws
16. Staff Incentives
17. Storage
18. Delivery Scheduling
19. Charity Payments
20. Staff Training

Cost Benefit Analysis

A planned approach to trading concessions

- ***"If I give this, how much will it cost and what do I get in return"***

Puts a value to concessions

Avoids giving away concessions during negotiation without realising the cost implications

Critical to know exactly what you are doing

Helps identify the size of the prize if variables are traded

- Cost/value to you (real v/s perceived costs)
- Cost/value to customer (short medium long term value)

Strengthens your hand during negotiations

Key Points: Negotiation Planning

Be firm on your WISH LIST

Generate as many CONCESSION as possible

- You cannot trade Fixed concessions

Do not GIVE Concession - TRADE Them!

Emphasize and maximize the perceived value of your concession!

Devalue their concession!

Trade your LOW COST concessions to your HIGH VALUE wish list



Negotiation Frame Work

Preparing

PLAN

- 4 pt test
- Power Analysis
- Wish list
- Walk-away
- Concession
- Cost Benefit Analysis

DEBATE

- Deadlock
- Signal
- Adjournment

Conducting Negotiation

PROPOSE

- How to
- Receiving

BARGAIN

- How to
- Receiving
- If...then...

AGREE

- When to
- How to

5 Key Purpose of Debate Phase

To find out what other want and let them know what you want

Check the other point of view

Explore their priority

Test Assumption

Test their honesty



Key Points: Debate

Do:

Listen More Talk Less

Ask questions...ask them to justify their case...why why

Summarize Often

Reward signals

Read between the Line

Take a break if needed

Be careful of common mistakes:

Not listening

Arguing to win

Not summarizing

Ignoring signals



DEBATE... KNOWING WHAT THEY WANT

The elements of proposal

Condition and the Offer

The condition = what you want from the other negotiator

The offers = what you might trade in return.

Make the proposals conditional:

- **If you... then I...**

- Your condition may be vague or specific but your offer must always be vague.

Though express this firmly:

'If you could improve your delivery schedules then I could consider minimum orders'

'If you could improve your delivery schedules by three days then I could consider minimum volume orders'

Receiving A Proposal

NO

- this leaves the other party with the initiative.

YES

- are you missing the opportunity to add a small item from your WISH list as a closing concession?

INSTANT COUNTER-PROPOSAL

- seldom builds on the first proposal and often leads to haggling or argument.

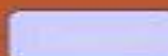
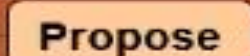
ADJOURN

- much more positive, gives thinking time and allows you to consult others.

CONSIDERED COUNTER - PROPOSAL

- the best response of all. Are there any circumstances in which you could agree to what they are proposing?

TRY TO GIVE THEM WHAT THEY WANT - ON YOUR TERMS



Key Points: Propose

DO:

Proposal advance negotiation

Let them know what you want - state your condition

Proposal must address the want of other party

Use it to initiate response

Be careful of common mistakes:

Complaining but not proposing

Lack of assertiveness (I wish... I hope...)

Opening unrealistically

Interrupting a proposal

Not considering what they want



Bargaining

Bargaining involves making exchanges - **giving something up in return for gaining something else**

A bargain conveys the **precise terms** on which you would settle

A bargain is a specific solution to the negotiating problem: **what agreement is acceptable to both of us?**

Bargains are always conditional

Nothing is ever given for free everything that is conceded must be traded for something else.

Give Them What They
Want in Your Own Term

If you... then I...

Bargain Format

All bargains should be expressed in a common format:

- **If you ... then I**

For example: “If you agree to this...then I will agree to that”

The key words are “if you agree to this ...” Without this provision the other negotiator could simply accept the offer without offering anything in return.

Unlike a proposal, a bargain consists of a precise condition and precise offer. There is nothing vague about a bargain.

Key Points: Bargain

Do:

Remember “ If you...then I”

Do not Give - Trade

Put a price on demand

Package

Keep issue linked

Be careful of common mistakes:

Giving away concession

Asking permission to concede “ If I..will you..”

Not stating your condition

Agreeing to one issue at a time



Did You Get What
You Want?

**What Did You Get
In Return?**

Key Points: Agree

Do:

Did you get what you want?

Is it too soon

Detail the agreement, do not leave without it

Be careful of common mistakes:

Inability to end bargaining stage

Giving concession away in the excitement of closing

Making large closing concession

Not recording agreement

Trying to cheat when recording agreement

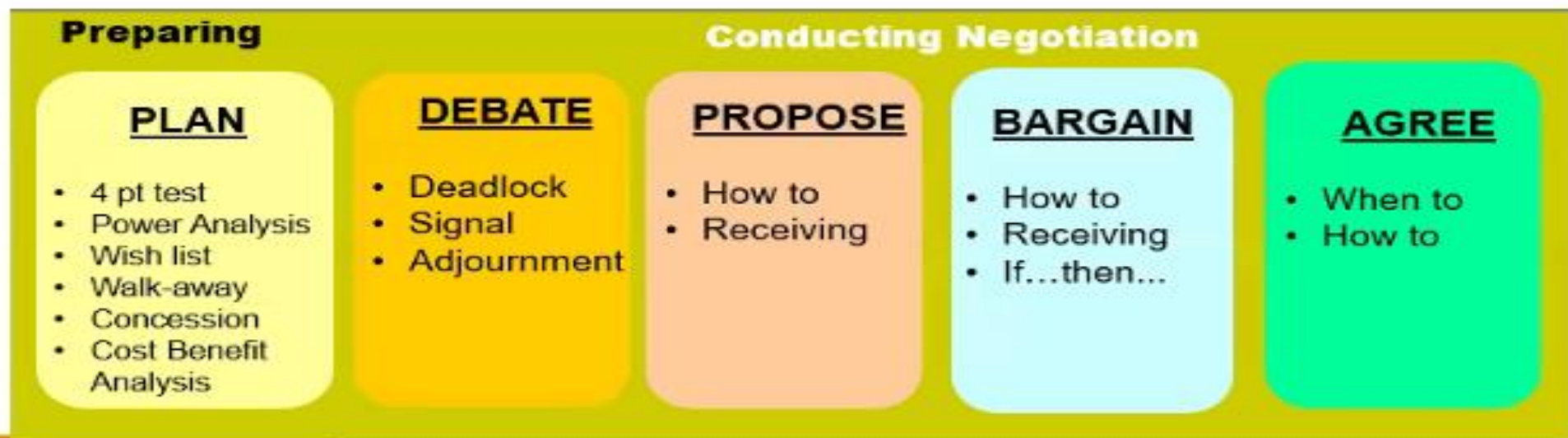


Let's practice...

Role Play – Actual Case

Select ONE of your important customers and prepare the real case, use what you have learned

Ready to practice your actual case



Power Techniques in Conducting Negotiation

1. Use Silence

- Saying nothing is as powerful as saying something
- Silence imply you are non-committal
- Silence imply certainty on your part

2. Take Notes

- Recall earlier conversation
- It buys you time to think
- Information is power

3. Summarize Regularly

- Makes negotiation manageable
- Linking this to suppose or if allow you to explore possibilities without committing

4. Promote Good Feeling

- Build up agreement progressively
- As you proceed, make sure to emphasize each step is good
- The more yes, the more likelihood of success

Power Techniques in Conducting Negotiation

5. Read Between the Line

- Catch signal
- watch for danger phrases - phrases with other meaning
- Are they trading?

6. Buy Time to Think

- silence, taking notes, punching calculator, telephone call, breaks
- Encourage other to do so as well

7. Is everything on the table

- Always ask this question
- Remind other party that they mentioned this already when they bring in new variable

8. Make Exchange look difficult

- Make your exchange look difficult
- Let them feel it is in their favor
- Let them know you are going out of your way to make the exchange possible

Negotiation Tactics by Buyer and Counter Measures by Seller

Never Saying “Yes” to the First Offer

Hoping you will: Give a better deal

Counter Tactics

Know the values of each concession and make it look Big during the Offer

Good Guy / Bad Guy

Good Guy / Bad Guy, one person pretends to be on your side and appears to help you make the deal. But every time you strike a deal, the good guy marches off to the bad guy for the final approval. Naturally the bad guy will renegotiate the deal you have worked out with the good guy.

Hoping you will: Give in to the good guy

Counter Tactics

First, you can fight fire with fire.

Second, you can expose the technique. Tell your counterpart that you do not appreciate the Good Guy / Bad Guy routine.

You can tell your counterpart that you will only negotiate to the person with authority.

Take It or Leave It

An effective tactic used by negotiators is saying, “This is our best and final offer. *Take It or Leave It.*” Sends the message that if the counterpart does not agree, there will be no further discussion.

Hoping you will: Be discouraged for additional negotiation.

Counter Tactics

Deflect threat with a great question. For example, “What will happen if we do not get this dispute resolved?”

Call the bluff. the effectiveness of this tactic depends on which side is least committed to the relationship.

Ignore the tactic and continue negotiating. This is probably the best approach when the goal is to build a win-win relationship.

The Policy

It Beyond my job, it's the "rule"

Hoping you will: Read it as unchangeable and not even try to negotiate

Counter Tactics

Check whether it is true and whether there are exceptions, who has the authority to make exceptions

Rules are made to be broken but be prepared for this to be difficult on occasion, if necessary be prepared to leave

Salami

Few people eat a whole salami with one swallow. Salami just goes down easier if you cut it into small pieces. The same principle applies to negotiation. Your counterpart will be more likely to make major concessions with less resistance if you cut the concessions into several small pieces.

Hoping you will: Give more than what you expected to pay

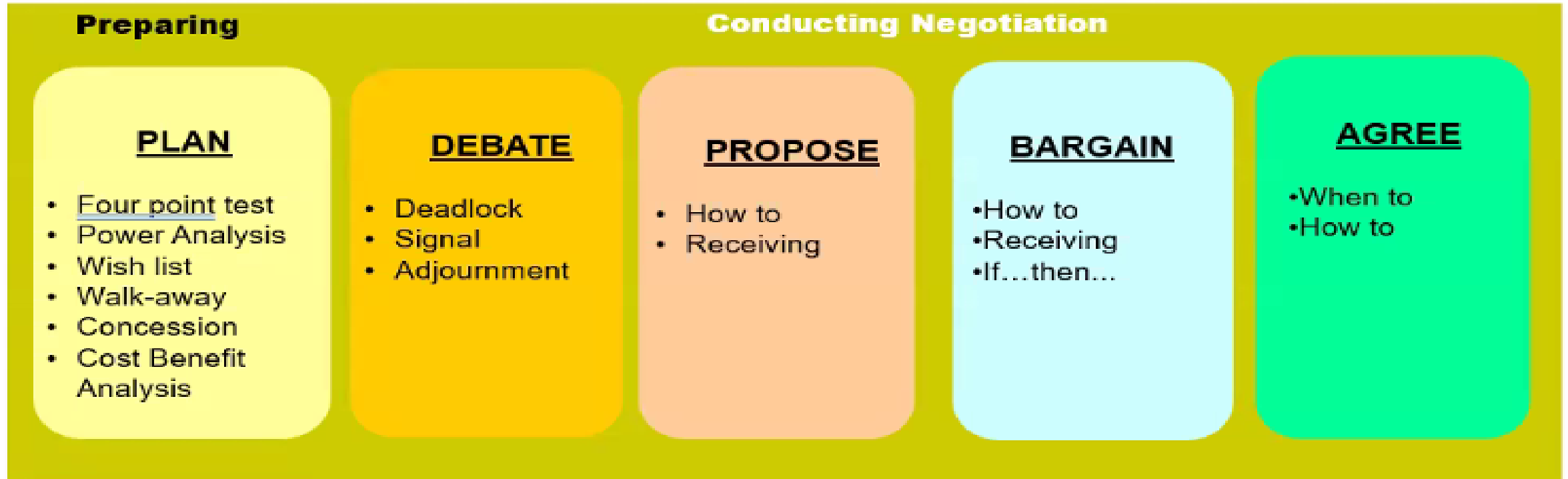
Counter Tactics

If you realize you are getting the *Salami*, you can expose the technique, pointing out that he has made concession after concession, and the negotiation is no longer win-win.

Second, you can blow up, using the *YIKES! You've Got to Be Kidding!*

Third, you can counter with trading concession

Summary : Negotiation Excellence



Negotiation Techniques

Negotiation Tactics & Counter Measures